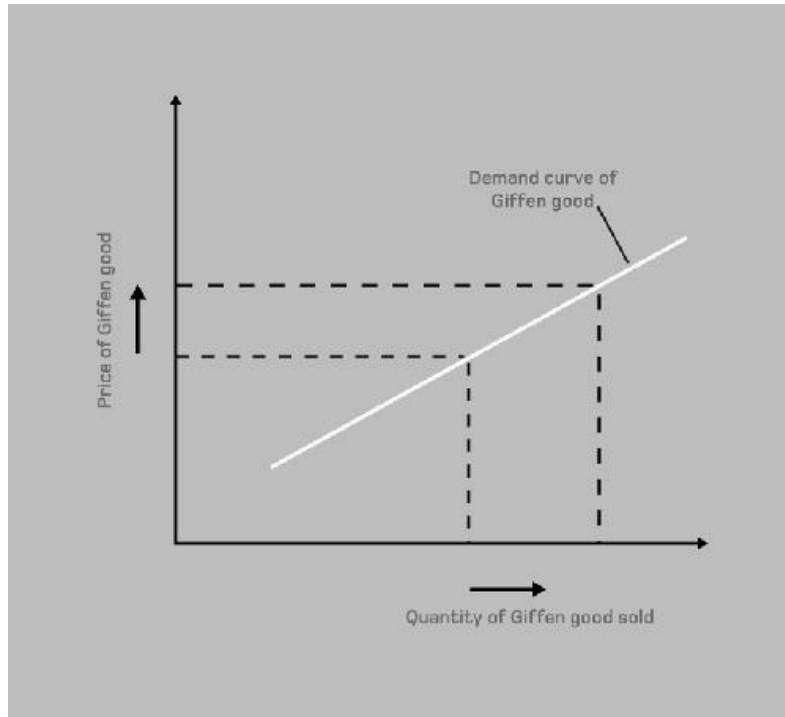


Giffen goods

If the price of laptops increases, one would expect people to demand less of them. However, economic theory also allows that a price increase might generate more, rather than less, demand. A price increase has two effects that may contradict each other: a higher price makes consumers shift spending towards other, cheaper goods, but in addition, the price increase reduces consumers' purchasing power, cutting real income. Some goods, such as laptops, tend to be demanded less when income falls. Another category of good known as inferior goods are demanded *more* as income falls. 'Giffen goods' are inferior goods with such a strong income effect that when the price goes up overall more of the good is demanded. Poor households spending most of their income on a basic staple suffer a large fall in real income if the price of the staple rises. Households may respond by cutting out non-essential items like meat or sugar, and spending even more on the staple. Some have claimed that during the Irish famine of the 19th century, potatoes were such a Giffen good.



Paradoxically, demand for a Giffen good rises as its price increases, since this reduces consumers' ability to spend on alternative goods.